IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Between

CP(CAA)/60/(CHE)/2021 in CA(CAA)/01/(CHE)/2021

SHERISHA TECHNOLOGIES PRIVATE LIMITED

... Transferor Company

Along with

CP(CAA)/59/(CHE)/2021 in CA(CAA)/04(CHE)/2021

SUNEDISON ENERGY INDIA PRIVATE LIMITED

...Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS & CREDITORS

CORAM

Justice (Retd.) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

CORRIGENDUM

In exercise of powers under Rule 154 of National Company Law Tribunal Rules, 2016, the Common Order dated 21.07.2022 is rectified as under;

1. **At Page No. 20, 5th para from top** shall be read as "(v)" instead of "(iv)".
2. **At Page No. 20, 6th para from top** shall be read as "(vi)" instead of "(v)".
3. **At Page No. 21, 2nd para from top as extracted hereunder** "*(vi) Since the Transferor Company is a wholly owned subsidiary of the Transferee Company, there shall be no issue of shares as consideration for the amalgamation of the Transferor Company with the Transferee Company*" **shall stand deleted.**

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

JUSTICE (RETD.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

DATED AT CHENNAI ON THIS 28TH DAY OF JULY, 2022

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Between

CP(CAA)/60/(CHE)/2021 in CA(CAA)/01/(CHE)/2021

SHERISHA TECHNOLOGIES PRIVATE LIMITED
CIN NO: U74110TN2002PTC049676
No.1/171, Old Mahabalipuram Road,
Thiruporur, Chennai – 603 110

...Petitioner / Transferor Company

Along with

CP(CAA)/59/(CHE)/2021 in CA(CAA)/04(CHE)/2021

SUNEDISON ENERGY INDIA PRIVATE LIMITED
CIN:-U74999TN2010PTC074345
No.1/171, Old Mahabalipuram Road,
Thiruporur, Chennai – 603 110

...Petitioner / Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS& CREDITORS

Order Pronounced on ***21st July 2022***

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): *Pawan Jhabakh, Advocate*
For OL : *B. Palani, Authorized Representative*

COMMON ORDER

Per: **Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **SHERISHA TECHNOLOGIES PRIVATE LIMITED** *(hereinafter referred to as "Transferor Company")* and **SUNEDISON ENERGY PRIVATE LIMITED** *(hereinafter referred to as "Transferee Company")*under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as **'Annexure - 4'** to the typed set filed along with the respective Petition.

3. The Registered office address of the Transferor and Transferee Company is situated at Chennai, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Transferor and Transferee Company had filed a company application bearing CA/01&04/CAA/2021 before the NCLT, Chennai Bench and directions were issued vide order dated 15.07.2021.

4. STEPS UNDER THE SCHEME:

The following are the steps proposed under the Scheme:

a) The Reduction of Scheme Equity Shares and cancellation of Scheme Compulsorily Convertible Debentures of Sunedison Energy India Private Limited (Transferee Company') held by Sherisha Industries Pte Limited (Part III of the Scheme)

b) The Amalgamation of Sherisha Technologies Private Limited (Transferor Company) into and with Sunedison Energy India Private Limited (or Transferee Company) (Part IV of the Scheme)

c) The Adjustment of the debit balance in Profit and Loss account of Sunedison Energy India Private Limited, against balance in capital reserve arising on the Amalgamation (Part V of the Scheme)

5. 1ST MOTION APPLICATION – IN BRIEF

5.1. The Transferor Company had filed its First Motion Application vide CA/01/CAA/2021 seeking directions for dispensing with the meeting of the Equity Shareholders and Secured Creditors and convening, holding and Conducting of the meeting of the Compulsorily Convertible Preference

Shareholder, Optionally Convertible Preference shareholder and Unsecured Creditors of the *Transferor Company*. In respect of the Transferee Company in CA/04/CAA/2021 seeking directions for dispensing with the meeting of the Equity Shareholders and convening, holding and conducting of the meeting of the Unsecured Creditors of the *Transferee Company*. It was represented that there was no Compulsorily Convertible Preference Shareholder, Optionally Convertible Preference shareholder and Secured Creditors in respect of the *Transferee Company* and the same was ordered by this Tribunal dated 15.07.2021.

5.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 15.07.2021, to convene the meetings of the Compulsorily Convertible Preference Shareholders, Optionally Convertible Preference Shareholders and Unsecured Creditors of the Transferor Company on 23.08.2021 at 11thFloor, Bascon Futura SV IT Park, New No.10/2, Old No.56L, Venkatanarayana Road, T.Nagar, Chennai – 600 017 at 10:00 AM, 11:00 AM &02:00 PM respectively and to convene the meetings of the Unsecured Creditors of the Transferee Company on 23.08.2021 at 11thFloor, Bascon Futura SV IT Park, New No.10/2, Old

No.56L, Venkatanarayana Road, T.Nagar, Chennai – 600 017 at 4:00 PM. Accordingly, the Tribunal has appointed Mr.N.P.Vijaykumar, Advocate as Chairperson and Ms. B.Chandra, PCS as Scrutinizer for the said meetings. Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on 27.10.2021 for sanction of the Scheme of Amalgamation by this Tribunal.

5.3 The Chairman submitted his Report on the above said meetings held on 23.08.2021. From the Chairman's Report, it is observed that the Compulsorily Convertible Preference Shareholders, Optionally Convertible Preference Shareholders and Unsecured Creditors of the Transferor Company and Unsecured Creditors of the Transferee Company had consented in favour of the Scheme. The said Chairman's report with respect to Transferor Company is annexed at "Annexure A 7B, Annexure A8C& A 8D" and Annexure to the typed set filed along with the Transferor Company Petition and the Chairman's Report with respect to Transferee Company it is observed that the Unsecured Creditors of the Transferee Company had consented in favour of the Scheme and the same Report is placed at "Annexure A 7B" to the typed set filed along with the Transferee Company Petition.

6. **RATIONALE OF THE SCHEME**

6.1. The Rationale for Reduction of Scheme Equity Shares and Cancellation of Scheme Compulsorily Convertible Debentures as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a) As per the financial position of the Transferee Company as on 31 March 2020, the Transferee Company has a negative net worth of Rs 45,54,50,562 including debit balance in Profit and Loss account of Rs 4,66,48,14,322.

b) In order to re-align the capital, to fairly reflect the liabilities of the Transferee Company in its books of accounts and reducing the debit balance in Profit and Loss account of the Transferee Company, the management and the shareholders of the Transferee Company have proposed to enter into an arrangement as captured in this part of the Scheme

c) It is being proposed to reduce 10,000 (Ten Thousand) Equity Shares of face value Rs 10 (Ten) each currently beneficially held by Sherisha

Industries (i.e. Scheme Equity Shares) in the Transferee Company for Nil consideration.

d) It is further proposed to cancel 2,60,65,657 (Two Crores Sixty Lakhs Sixty-Five Thousand Six Hundred and Fifty-Seven) compulsorily convertible debentures of face value Rs 10 (Rupees Ten) held by Sherisha Industries (ie Scheme Compulsorily Convertible Debentures) in the Transferee Company each for Nil consideration.

e) The proposed reduction/ cancellation shall reduce the financial outlay / outgo and therefore, would improve the liquidity of the Transferee Company to meet its obligations / commitments in the normal course of business.

f) The proposed reduction/ cancellation would improve the earnings per share of the Transferee Company over a period of time and enhancing long term value creation.

g) Further, the proposed reduction/ cancellation would also not in any way adversely affect the ordinary operations of the Transferee Company.

6.2. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. The Amalgamation will enable consolidation of the business of the two entities which will facilitate in operational efficiency and better supervision of the business.

b. The Amalgamation will enable pooling of resources of the Transferor Company with the resources of the Transferee Company to their advantage, resulting in more productive utilization of said resources, and cost and operational efficiency which would be beneficial to all stakeholders.

c. The Amalgamation of the Transferor Company into and with the Transferee Company will help in the creation of a platform for future business activities, and to act as a gateway for growth and expanding business operations wherein the business activities of the Transferor Company can be advantageously combined with the business activities of the Transferee Company

d. The Amalgamation will also enable smoother implementation of policy changes from a management perspective and shall also help enhance the efficiency and control of the entities. There is no likelihood that interests of any creditor of either the Transferor Company or the Transferee Company would be prejudiced as a result of the Scheme.

e. Since the Transferor Company and the Transferee Company are held by the same Promoters in same equity shareholding ratio, there is no likelihood that the interests of the shareholders of the Transferor Company or the Transferee Company would be prejudiced as a result of the Scheme. The Scheme is not in any manner prejudicial or against public interest and would serve the interest of all shareholders, creditors and stakeholders of both the Transferor Company and Transferee Company.

7. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 17.11.2021 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, (iv) The Reserve Bank of India (v) Official Liquidator on and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Dina Malar" Tamil (Tamil Nadu Edition).

7.1. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected paper publication as directed by the

Tribunal in one issue of "Business Standard" (All India Edition) in English and "Dina Malar" (Tamil Nadu Edition) in Tamil on 30.11.2021. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai on 03.12.2021, (ii) Registrar of Companies Chennai on 03.12.2021 (iii) Income Tax Department on 02.12.2021 (iv) Official Liquidator on 03.12.2021 and (v) the Reserve Bank of India on 03.12.2021 and the proof of the same by way of affidavits have been enclosed with the separate typed set filed. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

8. STATUTORY AUTHORITIES

8.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Southern Region, Chennai to whom the notice was issued has filed his Report before this Tribunal on 16.02.2022, wherein in para 3 of the Report it was stated that as per clause 3.4 of Part II of the Scheme, the Appointed Date is 01.04.2020, which is ante- dated beyond a year. Hence it is prayed that the Hon'ble NCLT, Chennai may direct the company to revise its appointed date or may determine an appointed date as it thinks fit, as per the Provisions of Section 232(6) of the Companies Act, 2013.

8.2. It was further submitted in Para 7 of the Report that as per Clause 15 of Part IV of the Scheme has stated about protection of employees of the Transferor Company. All staff and employees of the Transferor Company, in service on the Effective Date shall be deemed to have become staff and employees of the Transferee Company, with effect from the Appointed Date or date of joining whichever is later, without any break in their service and other benefits.

8.3. It is further averred in para 11 of the RD Report that as per Clause 19 of Part IV of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company shall stand be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 145,30,00,000 divided 13,03,00,000 equity shares of Rs. 10 each and 1,50,000 Preference Shares of Rs. 1000 each. It is prayed that the Hon'ble NCLT, Chennai may direct the Transferee Company to remit difference in fee / stamp duty, if any, and also to file the amended MOA and AOA with ROC, Chennai.

8.4. It was further observed that as per para 13 of the report that Clause 25 of Part V of the Scheme deals with intra-head adjustment within the Reserves and Surplus of the Transferee Company upon effectiveness of the scheme, between debit balance of Profit and Loss Account and Capital Reserve arising in the Transferee Company pursuant to Part IV of the Scheme.

8.5. It was further observed that as per para 14 of the report wherein it has been stated that as per the Report of the RoC, Chennai, the Transferor and Transferee Companies are regular in filing their statutory returns up to 31.03.2020 and has reported that there is no prosecution / Inspection or Investigation is pending against the Companies.

8.6. Thus, after examining the Scheme, except the observations made in para 3 & 11 of the RD Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

8.7. In relation to the objections raised by the RD, it is seen that Transferor and Transferee Company has filed an Affidavit dated 08.04.2022 vide S.R.No. 2281 & 2282 stating that the Appointed Date in respect of the Scheme can be fixed

as 1st April 2022. The said Affidavit filed by the Petitioner Companies is taken on record and accordingly the Appointed Date of the Scheme shall be **01.04.2022.**

8.8. Accordingly, the Transferee Company on 1st March 2022 has submitted an affidavit with this Tribunal with respect to the observation made by RD in para 11 of the Report wherein it was submitted that the undertaking to remit the difference of fees, if any, for the enhance authorised capital pursuant to the said Scheme and to file the amended MoA and AoA with the RoC, Chennai effecting the revision in the Authorized Share Capital of the Resulting Company.

8.9. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on 15.02.2022 and has stated that they have appointed M/s. Soleti Associates , Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- M/s. Sherisha Technologies Private Limited (STPL) is maintaining proper books of accounts and statutory

records as per requirements of Section 128 of the Companies Act, 2013.

- M/s. Sherisha Technologies Private Limited (STPL) has filed various returns with the Registrar of Companies generally in time and wherever there has been delay, additional fees has been paid as per legal requirements. As per the information and explanations given and as per the records made available and verified by them and as per the undertaking given by the company, there is no case pending against the Company or any of its Directors/Officers, and no prosecution has been launched under any of the Sections of the Companies Act, 2013/1956 against STPL or any of its directors.

- As per their company auditor's report, the Company as on the date of 30.08.2020 has three different secured creditors such as HDFC Bank, ICICI Bank and Dailmer Financial Services India Private Limited, out of which HDFC Bank Ltd. accounts to 97.91% of creditor. The company has obtained consent letter from HDFC Bank Ltd, hence Hon'ble Tribunal has dispensed the meeting requirement of secured creditors.

- On examination of the documents and returns filed with the Registrar of Companies by STPL, nothing adverse or objectionable affecting the interest of the company or its members or creditors or prejudicial to the public interest has been noticed.

- As part of the scheme of amalgamation, the Transferee Company restructuring its business by reduction of its own equity shares, cancellation of compulsory convertible debentures and writing off its

liability amounting to Rs.73,12,33,486/- towards M/s. Sunedison Inc, USA, erstwhile ultimate holding company. The Chartered Accountants believed the registered valuer opinion expressed on his report dated 5.10.2020, for valuation in relation to proposed reduction of equity shares and compulsory convertible debentures of Transferee Company as fair.

- There is no likelihood that interests of any creditor of the Transferor Company would be prejudiced as a result of the scheme and in case of the Transferee Company's creditors whereabouts are found uncertain as per information provided by the Transferor Company.

8.10. Further in Para 5 of the OL report it was further submitted that on scrutiny of the records of the Company, the Chartered Accountant has not come across any act of misfeasance by the Directors and there is no diversion of funds. With the proposed reduction of equity shares and cancellation of compulsorily convertible debentures in Transferee Company, writing off transferee company liability after approval from the respective authorities including Reserve Bank of India and revaluation of Transferor Company non-current investment, the Chartered Accountants are on the belief that the merged entity's financial conditions would be in a position to meet all liabilities including secured and unsecured creditors of the

Transferor Company. The business of Sherisha Technologies Private Limited, the Transferor Company has not been carried on with intent to defraud the creditors of the company or any other person, or for any fraudulent purpose attracting penal provisions of the Companies Act, 2013. Neither has any person or officer of the company misapplied or diverted or become liable or accountable for any money property of the company nor have any of these persons been found guilty of any misfeasance or breach of trust in relation to the company under the provisions of the Companies Act, 2013.

8.11. From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of ***₹50,000/- + GST (Rupees Fifty Thousand only Plus GST)*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

8.12. **OTHER STATUTORY AUTHORITIES**

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. the Income Tax Department, does not have any objection to the sanction of the Scheme.

9. VALUATION REPORT

9.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Pitam Goel, Chartered Accountant & Registered Valuer dated 05.10.2020, and the Certified True Copy of the Valuation Report is placed at **Annexure- 5** of both the company petitions at Page Nos. 105 – 116 of the Transferor Company and page Nos. 124 to 135 of the Transferee Company typed set filed along with the application.

10. ACCOUNTING TREATMENT

10.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the

Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed as 'Annexure – A9' in the typed set filed along with the Petitions.

11. OBSERVATIONS OF THIS TRIBUNAL

11.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as **Annexure "A4"** with the Company Petition as well as the prayer made therein.

11.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

11.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

11.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

12. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April 2022.**

(iv) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 21 of Part IV the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(iv) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the

employees of the Transferee Company without any break or interruption in their service.

(vi) Since the Transferor Company is a wholly owned subsidiary of the Transferee Company, there shall be no issue of shares as consideration for the amalgamation of the Transferor Company with the Transferee Company.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to all the Transferee Company and the files relating to both the said companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13. Accordingly, the Company Petitions stands **allowed** on the aforementioned terms.

- Sd -

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sd -

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

SriramAnanth.V